



MICROSOFT

OUTPERFORM

MSFT US ■ PRICE USD510.1* ■ TARGET PRICE **USD549** (UPSIDE 8%)

FLASH NOTE

Microsoft Read Through From APAC Chinese LLM Initiations

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What happened?

Today, our APAC Software and AI Applications team, led by Sophia Chi, initiated coverage on the Chinese LLM ecosystem ([link](#)) including MiniMax Group ([Outperform](#)) and Z.AI ([Neutral](#)). Note, MiniMax and Z.AI represent two of China's leading AI labs, with both emerging as prominent developers of open-weight models that are approaching the performance of leading US frontier models from the leading Frontier AI labs. The initiation report examines the accelerating adoption of open-weight models as enterprises increasingly look to optimize token spend, while a narrowing performance gap continues to expand the set of workflows that can be serviced with lower-cost alternatives. We provide our thoughts on the read-across to Microsoft below.

BNPP US Largecap Software View:

As it pertains to the broader AI ecosystem, we believe the development of increasingly capable open-weight models is driving a natural bifurcation in the token market. Importantly, we continue to see the US frontier labs playing an important role for customers and workloads that require frontier levels of intelligence. We expect the most capable models to continue commanding a meaningful premium for tasks where reasoning and model quality matter most. Within this context, we do not view the growth of open weight as coming at the expense of the leading US frontier labs as the labs should remain well positioned at the high-end of the intelligence curve. We believe Microsoft will continue to benefit from its OpenAI relationship through 1) a revenue share, 2) an equity stake, 3) a very large customer agreement where OpenAI consumes Azure services, 4) access to OpenAI's IP across models and silicon, and 5) other strategic benefits of Microsoft customers running OpenAI models on Azure.

Overall, we see the token market increasingly segmented by the level of intelligence required, rather than simply converging towards the lowest cost model. Open-weight models should drive greater competition for more commoditized workflows, while frontier intelligence should continue to command a pricing premium, in our view. The leading frontier labs can also offer customers a full spectrum of intelligence within their own closed-source ecosystems (via access to older models), allowing the leading Frontier AI labs to participate across the intelligence curve while preserving premium economics at the frontier.

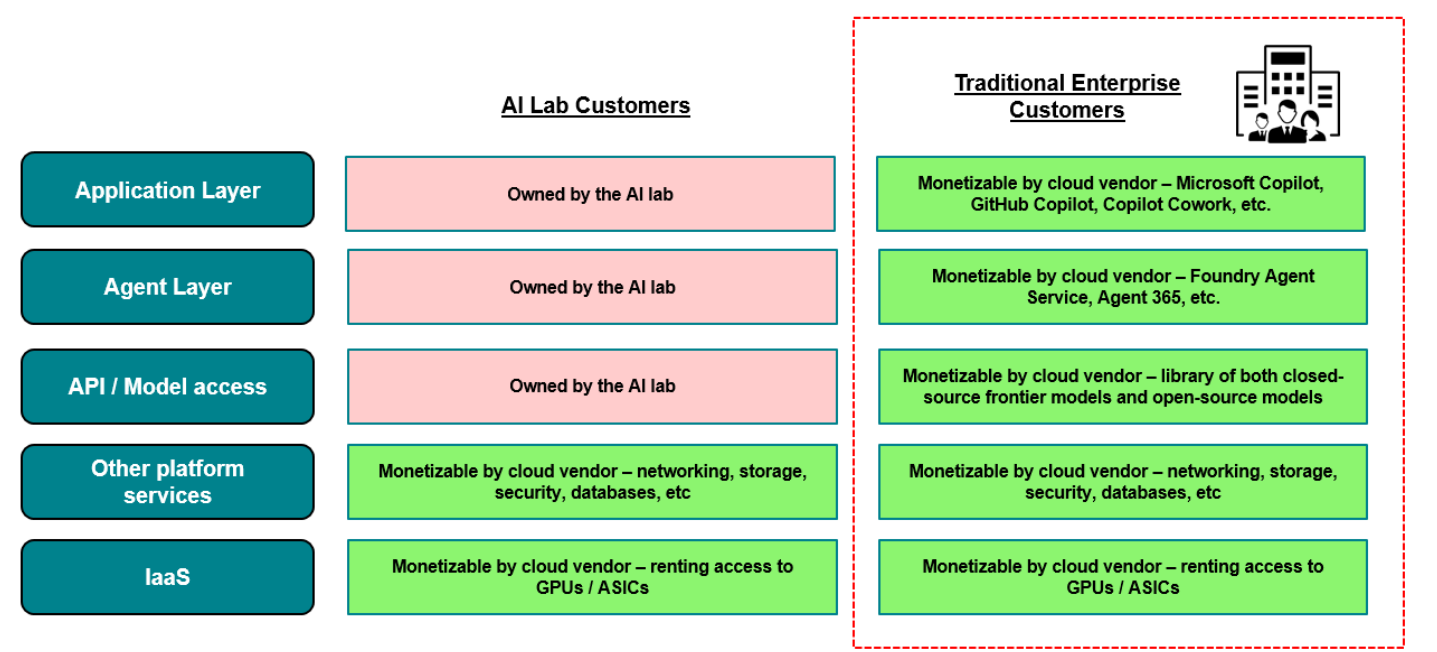
That said, from a hyperscaler perspective, we do view rising open-weight model adoption as a driver of improved cloud platform monetization. With a traditional enterprise customer, Microsoft can monetize more broadly across its cloud platform stack, including the underlying compute, model hosting / API access, agent builders / orchestration services, and even its broader software application portfolio. We believe greater adoption of open-source / open-weight model alternatives strengthens this opportunity as enterprises looking to deploy models such as GLM 5.3 or MiniMax M3 are unlikely to build the underlying infrastructure themselves and can instead turn directly to Azure to host and service these models.

By comparison, the platform attach with frontier lab customers is more limited, in our view. Note, AI labs already develop and sell their own models, managed agents, and even applications. As a result, the primary monetization opportunity for a cloud provider is infrastructure, with fewer opportunities to attach higher-level platform services.

Moreover, frontier models are distributed directly both by the labs themselves and through cloud providers. This gives enterprises the option to procure increasingly turnkey AI offerings directly from the labs, potentially relegating hyperscalers to simply servicing the bare-metal infrastructure.

Overall, we see Microsoft as a key beneficiary not only of the continued adoption and usage of leading Western frontier models, but also of enterprise customers increasingly using open-source / open-weight models and cheaper alternatives on top of the Azure platform.

Figure 1: Traditional enterprise customers offer greater monetization potential across the full cloud platform stack from the perspective of a hyperscaler



Source: Company reports, Microsoft, BNP Paribas Equity Research estimates

Investment case, valuation and risks

Microsoft (Outperform, Target Price USD549)

Investment case

We see Microsoft as positioned to benefit from a leadership position in technologies with strong secular growth tailwinds, including Cloud Computing and Data Analytics (Azure, Synapse, Fabric), Software Development (GitHub, Visual Studio and the Windows Platform), Productivity (Office), Collaboration (Teams), Enterprise automation (Dynamics and Power Platform), Cyber Security, Advertising (Netflix and OpenAI partnerships, and own services like LinkedIn and Bing), and Gaming (Xbox and Activision). Microsoft is also now leveraging Generative AI across its products, which we believe will drive increased usage and ARPU increases. The company's OpenAI partnership will also likely help drive revenue growth acceleration. We also see Microsoft proactively managing its cost structure, despite accelerating depreciation costs, helping maintain margins at a high level. In addition, the company's communication is amongst the best in Big Tech, providing investors with a clearer understanding of investment priorities and shareholder return visibility.

Valuation methodology

We use a 25x NTM P/E multiple (using ex OpenAI gains and losses earnings) to value Microsoft, based on our FY28 EPS estimates, discounted back, and we also add value for Microsoft's stake in OpenAI.

Risks

To the upside:

Faster than expected uptake for Microsoft's Co-pilot would be a positive catalyst for the stock. Microsoft Azure's growth and market share gain could exceed our expectations, driving higher than expected revenue growth. Similarly, any of Dynamics, Office 365, Gaming, Devices, LinkedIn or Search Advertising could exceed our expectations in a given year or over a multi-year period. Greater market confidence around OpenAI, and OpenAI's ability to raise capital and achieve FCF break-even, would also help confidence.

To the downside:

The inability to meet demand, including difficulty accessing GPUs, may negatively impact Azure growth. The dependency on OpenAI for its GPT model also creates a strategic risk, while the increased dependence on Generative AI for growth also creates risk as it is still an unproven technology in the enterprise. Cyclical weakness in core businesses, such as Windows, could last longer than expected, weighing on growth and driving valuation pressure. Increasing investor concern around SaaS business models and headcount growth dependence is also a risk. Regulatory risk from competition concerns over hyperscalers' dominance of cloud workloads could also factor. Lastly the need to continuously innovate in a highly competitive market could weigh on long term profitability.

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Minimax	100 HK	1; 6
Z.AI	2513 HK	1; 6

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Ratings	Stocks coverage		Investment Banking Services Within the previous 12 months	
	Counts	%*	Counts	%
Outperform (Buy)	730	52	163	22
Neutral (Hold)	465	33	105	23
Underperform (Sell)	203	15	38	19

* Please note that the percentages might not add up to 100% because of rounding.

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Price and Ratings Chart

Microsoft

Historical Closing Price & Target Price (closing price as of 03/09/2026)



Source: BNP Paribas

Historical rating & target price changes

Date & Time of Dissemination (London time)	Rating (1)	Target Price	Closing Price	Key Changes	Person(s) Involved
16 Jul. 2026 05:26	+	USD549.00	USD401.10	TP down	S. Slowinski, D. Wang, K. Patton
30 Apr. 2026 22:42	+	USD555.00	USD407.78	TP down	S. Slowinski, D. Wang, K. Patton
10 Apr. 2026 14:14	+	USD556.00	USD370.87	TP down	S. Slowinski, D. Wang, K. Patton
26 Jan. 2026 21:43	+	USD659.00	USD470.28	TP up	S. Slowinski, D. Wang, K. Patton
3 Nov. 2025 05:56	+	USD632.00	USD517.03	TP up	S. Slowinski, D. Wang, K. Patton
1 Aug. 2025 11:51	+	USD630.00	USD524.11	TP up	S. Slowinski, D. Wang, K. Patton
28 Jul. 2025 05:41	+	USD625.00	USD512.50	TP up	S. Slowinski, D. Wang, K. Patton
26 Jun. 2025 21:19	+	USD606.00	USD497.45	TP up	S. Slowinski, D. Wang, K. Patton
2 May 2025 06:12	+	USD500.00	USD435.28	TP up	S. Slowinski, D. Wang, K. Patton
17 Apr. 2025 05:55	+	USD483.00	USD367.78	TP down	S. Slowinski, D. Wang, K. Patton
31 Jul. 2024 11:50	+	USD500.00	USD418.35	TP down	S. Slowinski, K. Patton
22 Jul. 2024 06:23	+	USD525.00	USD442.94	TP up	S. Slowinski, K. Patton
2 May 2024 05:59	+	USD495.00	USD397.84	TP up	S. Slowinski, K. Patton, B. Castillo-Bernaus
31 Jan. 2024 14:22	+	USD485.00	USD397.58	TP up	S. Slowinski, L. Lu, K. Patton
18 Jan. 2024 05:11	+	USD471.00	USD389.47	Rating up, TP up	S. Slowinski, B. Castillo-Bernaus, L. Lu, K. Patton
27 Oct. 2023 17:21	=	USD350.00	USD329.81	TP up	S. Slowinski, L. Lu, K. Patton

(1) With effect from 23 September 2024, BNP Paribas changed its research rating system - please refer to the 'Explanation of Research Ratings'.

Note:

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